

THE WHITE HOUSE
WASHINGTONDECLASSIFIED
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2000-0429-F
31 8/21/09

MEMORANDUM OF TELEPHONE CONVERSATION

SUBJECT: Telephone Call to Francois Mitterrand,
President of France

PARTICIPANTS: The President
Francois Mitterrand, President
Notetaker: Adrian Basora, NSC Staff
Interpreter: Alex Toumayan

DATE, TIME September 11, 1990, 1:34 - 1:43 p.m.
PLACE: Oval Office

The President: Francois, comment allez vous? (U)

President Mitterrand: Good evening, dear George. (U)

The President: I would like to tell you about my meeting in Helsinki. I am sure you have seen the communique. I think the meeting was nothing short of historic. It sent a powerful signal. Saddam Hussein knows he cannot play off the U.S. against the Soviet Union. (S)

Gorbachev was in a good frame of mind and we were in agreement on the general approach to take in this crisis. Gorbachev is wary of the use of force, however. (S)

President Mitterrand: Undoubtedly. (U)

The President: Regarding the economic sanctions, Gorbachev agrees that food itself should be embargoed. However, if people are truly starving, especially children, then there should be a mechanism to get food to them. There were no side deals at Helsinki nor any request on my part for the Soviets to intervene militarily. (S)

Gorbachev was embarrassed by the fact that the press tried to tie his policies toward Iraq with the Soviets' need for economic assistance. It was the way the question was phrased. (S)

Thank you for the meetings that Nick Brady had with your top finance people. We are close together on that issue. (S)

I have spoken to King Fahd. Like the others in the region, he says that the sanctions are already working. Fahd is too optimistic; he says Saddam Hussein will need to make some

decisions in the next two weeks. Gorbachev also thought that the sanctions were working. (S)

President Mitterrand: Thank you for informing me. It is important to remain in touch. You understand Gorbachev's personality well: he doesn't want to stay alone in his corner. (S)

I think that Gorbachev is personally in agreement with us, but he has so many other forces to contend with inside the Soviet Union. The fact that you took the trouble to go to Helsinki, which is so far away, was a good thing. (S)

Now we must assess Saddam Hussein's ability to withstand the economic sanctions. A UN committee exists and should be asked to oversee them. (S)

The President: Yes, but aren't they already at work? (S)

President Mitterrand: It is important that we take a hard line in order for the embargo to succeed. (S)

The President: I agree totally. Some countries want all food shipments let into Iraq. (S)

President Mitterrand: I don't want to be cruel, but the most genuine cruelty is war, and that is what we want to avoid. (S)

The President: King Fahd says that there are many defections from the Iraqi military and that the defectors tell of shortages. (S)

President Mitterrand: We have to stay in touch; circumstances require it. The risk remains high and we must therefore remain vigilant. (S)

The President: Yes, indeed. (U)

President Mitterrand: Until soon. (U)

-- End of Conversation --

briefing papers.

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NSC/S PROFILE

RECORD ID: 9007379
RECEIVED: 17 SEP 90 18

TO: SCOWCROFT

FROM: ROY, J

DOC DATE: 20 SEP 90
SOURCE REF: 9020447

KEYWORDS: PORTUGAL

VISIT

PERSONS: CAVACO SILVA, ANIBAL

SUBJECT: TALKING POINTS FOR VISIT OF PM CAVACO SILVA / SEP 25

ACTION: APPROPRIATE ACTION

DUE DATE: 20 SEP 90

STATUS: S

STAFF OFFICER: BASORA

LOGREF:

FILES: WH

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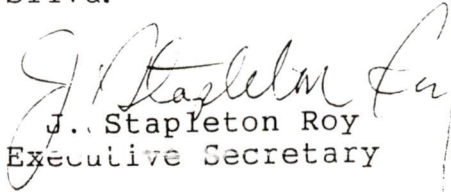
September 20, 1990

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MEMORANDUM FOR BRENT SCOWCROFT
THE WHITE HOUSE

SUBJECT: Private Visit of Portuguese Prime Minister Cavaco
Silva: Talking Points for the President

Attached are suggested talking points, fact sheets and a
bio sketch for the President's September 25 meeting with
Portuguese Prime Minister Cavaco Silva.


J. Stapleton Roy
Executive Secretary

Attachments:

- Tab 1 - Talking Points
- Tab 2 - Fact Sheets
- Tab 3 - Bio sketches of PM and Mrs. Cavaco Silva

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Withdrawal/Redaction Sheet

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Document No. and Type	Subject/Title of Document	Date	Restriction	Class.
11a. Talking Points	Suggested Talking Points for President's Meeting with Prime Minister Cavaco Silva (2 pp.)	n.d.	(b)(1)	S

Collection:

Record Group: Bush Presidential Records
Office: National Security Council
Series: European / Eurasian Directorate Central Chron File
Subseries:
WHORM Cat.:
File Location: September 1990 [3]

Date Closed: 6/1/2011	OA/ID Number: 30510-001
FOIA/SYS Case #: 2011-0002-F	Appeal Case #:
Re-review Case #:	Appeal Disposition:
P-2/P-5 Review Case #:	Disposition Date:
AR Case #:	MR Case #:
AR Disposition:	MR Disposition:
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RESTRICTION CODES

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DEPARTMENT OF STATE
BRIEFING PAPER

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LAJES AIR FORCE BASE/SECURITY ASSISTANCE/GEODSS

- o Since 1951, the U.S. has had rights to Lajes Air Force Base in the Azores. The base is vital to the U.S. for NATO and out-of-NATO-area activities. The current agreement expires February 4, 1991, and negotiations are expected to start in late 1990 on a broad new accord replacing the 1951 Defense Agreement. Early parliamentary elections--possibly in March 1991--could stall base negotiations.
- o Access to Lajes affords the U.S. global strategic mobility by ensuring Allied dominance of sea lanes in the eastern Atlantic and the approaches to the Mediterranean and by serving as a transit/support base in case of crisis or war in Europe or the Middle East. The Portuguese Government has provided the U.S. with full use of Lajes in support of Operation Desert Shield.
- o In 1988-89 "Special Consultations" convened by the GOP because of its dissatisfaction with U.S. security assistance levels, both sides agreed on a package worth \$500 million of military equipment offerings--based on FMS grants, SRA, and commercial sales--when including 20 F-16s, helicopters and radars to enhance Portugal's air defense and anti-submarine warfare capability.
- o GOP officials have indicated that security assistance shortfalls below the U.S. "commitment" of \$100 million FMS through 1995 could cause Portugal to impose restrictions on the use of Lajes. The most likely target would be to curtail out-of-NATO area transit flights. Security assistance shortfalls could also complicate the Lajes base negotiations by causing Cavaco Silva to adopt a more aggressive negotiating posture.
 - Nevertheless, there is a strong domestic consensus in favor of a continued U.S. presence at Lajes, which pumps \$90 million annually into the Azorean economy.
- o Since concluding a GEODSS (Ground-Based Electro-optical deep-space surveillance station) General Agreement in 1984, the U.S. and Portugal have been unable to negotiate Construction and Technical Agreements because of differences, mostly over U.S. insistence on a tax-exempt status and application of a NATO-type SOFA to the facility.
 - Since 1985, increased levels of ESF in consideration of an expected GEODSS facility have provided the Luso-American Development Foundation, established in 1985 to promote bilateral cooperation and exchanges, with \$100 million for its endowment. Secretary Cheney recently informed the GOP that we believed continued negotiations on GEODSS were not worthwhile and had decided to close the matter.

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PER DOS WAIVER, November 6, 2015
By SS NARA, Date 9/13/15

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POLITICAL OVERVIEW

- o Cavaco Silva's Social Democratic Party (PSD) swept the 1987 parliamentary elections to become the first majority government since the 1974 revolution.
 - The Socialist Party (PS) is the principal opposition party, and currently is even in the polls. Presidential elections, in which President Soares (Socialist) will run without major opposition, are set for January 13, 1991, and there is growing pressure on Soares to call early parliamentary elections in March.
- o The December 1989 municipal elections were a major victory for the PS, which won most of the major cities. PS leader Sampaio took a big risk but won the Lisbon mayoral election and has positioned himself to pose a high-profile challenge to Cavaco Silva in next year's elections.
- o Under Cavaco Silva, the economy has experienced a boom, but creeping inflation (13 percent) is pinching wage earners. Cavaco Silva has stressed a policy of modernizing the economy and privatizing many firms and industries that were nationalized in the wake of the revolution. Still, much remains for Portugal to do to meet the challenge of making its economy competitive in time for the 1992 EC Single Market.
- o Worker dislocations, wage restraints and measures to restrict credit in 1989 have hurt the PSD's popularity. Several cabinet shakeups in 1990 failed to reverse the perception of political inertia, and the government appeared indecisive in taking nearly a month to offer a naval transport vessel for the international effort in the Gulf. Cavaco Silva's autocratic style has also hurt him in the media.
- o Against the advice of most PSD leaders, Cavaco Silva has increased the number of technocrats in the cabinet, diminishing the influence of party barons.
- o Cavaco Silva remains cautious about EC political union and has resisted pressure to join the European Monetary System so as not to preclude his economic options in an election year.
 - Cavaco Silva sees political advantage in Portugal's "privileged relationship" with the U.S., but knows that billions of dollars in EC funding expected in the next several years will be the key to Portugal's economic modernization.

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U.S.-EC/PORTUGAL ISSUES

- o Trade Relationship. After several years of deficits, the U.S. achieved a \$1.5 billion trade surplus with the EC in 1989. The EC is our largest trading partner. The U.S. has maintained a trade surplus with Portugal, reaching \$127 million in 1989. Portugal is our 45th largest export market.
- o U.S. trade concerns with Portugal include quantitative restrictions on agricultural products, restrictive vegetable oil labeling requirements and inadequate copyright and trademark protections. After consultations, Portugal was removed from the Special 301 "watch list" last year.

-- Portugal's accession to the EC in 1986 provides for quotas on domestic soyoil consumption which the U.S. believes are illegal under GATT. We have responded with a nonrestrictive quota on EC agricultural imports which we will maintain as long as Portugal retains its nonrestrictive quota (scheduled for elimination in 1991).
- o Uruguay Round. The U.S. and EC remain far apart on agriculture. The EC strategy is to highlight reform efforts to date, keep concessions minimal, and protect the EC's Common Agricultural Policy (CAP) structure. Portugal has not taken a leading role; however, one of its main concerns is that any agreement on textiles also bind the LDCs.
- o EC-92 Program. The U.S. generally supports the EC-92 program for a Single Market; fewer barriers will mean increased opportunities for U.S. business; we have concerns, however, in such areas as public procurement, intellectual property rights, Airbus subsidies, and rules of origin. Portugal rarely takes a strong position on US-EC issues.
- o Portugal should benefit from the single market due to its low wages and ability to maintain traditional export industries such as textiles and shoes. EC development funds and fiscal disciplines will also help Portugal restructure.
- o U.S.-EC Political Relations. Since Secretary Baker's December speech in Berlin, the U.S. and EC have been active in strengthening their institutional links, both through the EC Council of Ministers and the EC Commission. We hope to conclude a U.S.-EC declaration of principles soon and welcome Portugal's support of our mutual efforts.
- o Eastern Europe/G-24. The EC Commission's G-24 coordinating role in providing assistance to Eastern Europe has been successful and we credit the EC with being the driving force behind the generosity of a number of participants. While supportive of G-24 both independently and in coordination with the EC Commission, due to its relative size Portugal has not been prominent in the G-24 process.
- o Iraqi/Kuwaiti Sanctions. Portugal has supported the entire range of UN and EC sanctions guidelines and has offered transport ships for the international effort in the Gulf.

Withdrawal/Redaction Sheet

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Document No. and Type	Subject/Title of Document	Date	Restriction	Class.
11e. Paper	Angola (1 pp.)	n.d.	(b)(1)	S

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Record Group: Bush Presidential Records
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Series: European / Eurasian Directorate Central Chron File
Subseries:
WHORM Cat.:
File Location: September 1990 [3]

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Collection:

Record Group: Bush Presidential Records
Office: National Security Council
Series: European / Eurasian Directorate Central Chron File
Subseries:
WHORM Cat.:
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TO: SITTMANN

FROM: HUTCHINGS

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KEYWORDS: FRANCE
IRAQ

TELCON
KUWAIT

PERSONS: MITTERRAND, FRANCOIS

SUBJECT: TELCON OF PRES CALL TO PRES MITTERRAND RE FRENCH EMBASSY IN KUWAIT

ACTION: SITTMANN APPROVED RECOM

DUE DATE: 20 SEP 90

STATUS: C

STAFF OFFICER: HUTCHINGS

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FOIA Number:
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Record Group/Collection: George H.W. Bush Presidential Records
Collection/Office of Origin: National Security Council
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Subseries: Central Chronological Files

OA/ID Number: 30510
Folder ID Number: 30510-001

Folder Title:
September 1990 [3]

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